Enrollment No.: _____

Darshan UNIVERSITY

Darshan Institute of Engineering & Technology
B.Tech. | Sem-5 | Summer-2024

Course Code	:	2101MN503	**Date**	:	25-05-2024
Course Name	:	Fundamentals of Accounting	**Duration**	:	150 Minutes
			Total Marks	:	70

Instructions:
1. Attempt all the questions.
2. Figures to the right indicates maximum marks.
3. Make suitable assumptions wherever necessary.

Q.1 (A) How many types of accounts are there? Explain its golden rules. **4**

(B) Explain the following terms: **3**
- (I) Allowance
- (II) Debtors
- (III) Intangible assets

OR

Explain the following terms:
- (I) Drawings
- (II) Insolvent
- (III) Bad-debts

(C) Write a detailed note on accounting concepts and conventions. **7**

OR

"There are various branches of accounting and each has its own significance." – Justify.

Q.2 (A) Define subsidiary books. Discuss any three types of it. **4**

(B) Journalize the following transactions in the books of Shiva. **10**

2024
Jan 1. Started business with cash ₹ 50,000 and furniture of ₹ 50,000.
Jan. 10. Purchased goods of ₹ 20,000 from ram.
Jan 25. Goods purchased from Ram sold to Krishna after adding 25% profit.
Feb 4. Krishna returned goods of ₹ 12,500.
Feb 14. Goods returned by Krishna sent back to Ram.
Feb 24. ₹ 12,000 received from Krishna as full and final payment.
March 1. ₹ 10,000 paid to Ram.
March 12. Commission received ₹ 3,000.
March 23. Salary paid to Ali ₹ 5,000.
March 31. Machine worth ₹ 20,000 purchased from Vishnu.

OR

Journalize the following transactions in the books of Shah and prepare cash account, bank account and capital account.
1 Shah started business with Cash ₹ 1,00,000 and Bank balance of ₹ 50,000.
2 Goods of ₹ 25,000 purchased from Nawab and payment made by cheque.
3 Goods of ₹ 40,000 sold to Prince. 50% amount received in cash and 50% by cheque.

4 Salary paid to Raja ₹ 10,000.
5 Deposited in bank ₹ 20,000.
6 Subscription received by cheque ₹ 25,000.
7 Rent paid to Malik ₹ 25,000 by cash.

Q.3 **(A)** Write a short note on WAM (weighted average method) of inventory valuation. **4**

(B) What is a trial balance? Explain various errors affecting trial balance with examples. **10**

OR

Alpha Ltd. purchased and issued the following materials:

Date	Particulars	Units	Price per unit
1	Purchases	300	3.00
5	Purchases	600	4.00
10	Issues	500	-
12	Purchases	700	4.00
15	Issues	800	-
20	Purchases	300	5.00
30	Issues	100	-

Ascertain the quantity of closing stock under FIFO and LIFO method.

Q.4 **(A)** Why do companies need to prepare financial statements? Share your views. **4**

(B) Prepare trading account, profit & loss account and balance sheet of Prithvi as on 31st March, 2024 from the following balances: **10**

Particulars	amount	Particulars	amount
Capital	3,60,000	Salaries	60,000
Machinery	70,000	General expenses	20,000
Sales	8,20,000	Rent	50,000
Purchases	4,00,000	Purchase return	5,000
Sales return	10,000	Debtors	3,00,000
Stock (1-4-2023)	1,00,000	Cash	40,000
Drawing	40,000	Carriage outwards	20,000
Wages	1,00,000	Advertising expense	20,000
Carriage inwards	5,000	Creditors	50,000

The closing stock valued at ₹ 2,00,000.

OR

The following are the balances as on 31st December, 2023 extracted from the books of Aakash:

Particulars	amount	Particulars	amount
Sales	9,20,000	Postage and courier	6,200
Purchases	6,83,000	Misc. expenses	9,000
Return inward	13,000	Bad debts	4,000
Return outward	22,000	Debtors	2,20,000
Stock as on 1-1-2023	1,76,000	Creditors	1,28,000
Carriage inwards	24,000	Loan from Sagar	50,000
Rent	22,000	Capital	5,25,000
Discount	37,500	Drawings	19,100
Printing	7,200	Business premises	3,90,000
Insurance	5,000	Office furniture	15,000

The stock on 31st December, 2023 was valued at ₹ 2,40,000 and travelling expenses were 14,000.

You are required to prepare trading account, p & l account and balance sheet.

Q.5 **(A)** Differentiate between provisions and reserves. **4**

(B) Explain the concept of contingent liability with examples. **3**

OR

Define the following:

(I) Capital expenditure

(II) Revenue expenditure

(III) Deferred revenue expenditure

(C) Draw a Performa of profit and loss account as per Companies Act with imaginary figures. **7**

OR

Draw a specimen of a balance sheet as per Companies Act with hypothetical example.

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